

R&D expense increased \$1.87 billion, or 41%, in the year ended December 31, 2025 as compared to the year ended December 31, 2024, primarily due to increases in costs related to AI and other programs as we continue to expand our product roadmap and technologies and an increase in stock-based compensation of \$500 million. R&D expense as a percentage of revenue increased from 5% to 7% in the year ended December 31, 2025 as compared to the year ended December 31, 2024, primarily due to higher R&D expense and a decrease in total revenue as compared to the prior year.

Selling, General and Administrative Expense

(Dollars in millions)	Year Ended December 31,			2025 vs. 2024 Change		2024 vs. 2023 Change	
	2025	2024	2023	\$	%	\$	%
Selling, general and administrative	\$ 5,834	\$ 5,150	\$ 4,800	\$ 684	13 %	\$ 350	7 %
As a percentage of revenues	6 %	5 %	5 %				

Selling, general and administrative (“SG&A”) expense generally consist of personnel and facilities costs related to our stores, marketing, sales, executive, finance, human resources, information technology and legal organizations, as well as fees for professional and contract services, litigation settlements, bank charges and marketing fees.

SG&A expenses increased \$684 million, or 13%, in the year ended December 31, 2025 as compared to the year ended December 31, 2024 driven by a \$354 million increase in operating expenses including legal charges, a \$256 million increase in employee and labor costs, including professional services, a \$235 million increase in stock-based compensation, partially offset by an \$83 million decrease in marketing expenses and a \$78 million decrease in facilities related expenses.

Restructuring and Other

(Dollars in millions)	Year Ended December 31,			2025 vs. 2024 Change		2024 vs. 2023 Change	
	2025	2024	2023	\$	%	\$	%
Restructuring and other	\$ 494	\$ 684	\$ —	\$ (190)	(28)%	\$ 684	Not meaningful

In the second quarter of 2024, we initiated and substantially completed certain restructuring actions to reduce costs and improve efficiency. As a result, we recognized \$583 million of employee termination expenses in Restructuring and other in our consolidated statement of operations.

In the third quarter of 2025, we initiated certain actions in order to reduce costs and improve efficiency through convergence of AI chip design efforts. As a result, we recognized \$390 million of expenses within our automotive segment in the second half of 2025, related to charges for supercomputer assets, contract terminations and employee terminations.

Interest Income

(Dollars in millions)	Year Ended December 31,			2025 vs. 2024 Change		2024 vs. 2023 Change	
	2025	2024	2023	\$	%	\$	%
Interest income	\$ 1,680	\$ 1,569	\$ 1,066	\$ 111	7 %	\$ 503	47 %

Interest income increased \$111 million, or 7%, in the year ended December 31, 2025 as compared to the year ended December 31, 2024, primarily due to higher interest earned on our cash and cash equivalents and short-term investments due to an increase in our average portfolio balance, partially offset by a lower average interest rate.

Other Income (Expense), Net

(Dollars in millions)	Year Ended December 31,			2025 vs. 2024 Change		2024 vs. 2023 Change	
	2025	2024	2023	\$	%	\$	%
Other (expense) income, net	\$ (419)	\$ 695	\$ 172	\$ (1,114)	Not meaningful	\$ 523	304%

Other (expense) income, net, consists of foreign exchange gains and losses related to our foreign currency-denominated monetary assets and liabilities and fair value remeasurements of our digital assets following the adoption of ASU 2023-08 effective January 1, 2024. See Note 2, *Summary of Significant Accounting Policies*, to the consolidated financial statements included elsewhere in this Annual Report on Form 10-K for further details.